

Macro Economics for Business

BBA — 2nd Semester — 2024 — Answer Sheet
Subject Code: ECO204

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

Brief Answer Questions: $[10 \times 2 = 20]$

1. Four sector economy is also called open economy. Why?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. What is green gross domestic product (GDP)?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. Calculate operating surplus if corporate profit Rs 60 million, rental income Rs 25 million, interest Rs 45 million, undistributed profit Rs10 million, and dividend Rs 30 million.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Prove that the sum of MPC and MPS equal to unity.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Inflation is an economic phenomenon. Justify it.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. What are the components of balance of payment under capital account?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. Enlist the sources of economic growth.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. Differentiate between nominal interest and real interest.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. Let the GDP deflator for 2023 = 375 and GDP deflator for 2024 = 405, what will be the rate of inflation?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. Why does consumption curve pass through Y-axis?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions: (Attempt any SIX Questions)[6 × 5 = 30]

11. Compute NNPMP by using both income and expenditure method.

Description	Rs. in billions
Interest	590
Proprietors' income	584
Corporate profit	698
Subsidies	100
Exports	150
Consumption expenditure	5,164
Capital consumption allowance	878
Indirect business taxes	476
Compensation of employees	4746
Rent	128
Gross domestic investment	1,340
Government purchases of goods and services	1,630
Imports	284
Net factor income from abroad	-200

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. Explain the long run determinants of investment.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. State the Say's law of market. What are its implications?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. Describe the determinants of financial inclusion.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. What is exchange rate? How is it determined under demand- supply approach?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. Examine the relationship between macroeconomics and economic environment.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

17. How does monetary policy help to achieve full employment and price stability?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Long Answer Questions: (Attempt any THREE Questions)[3 × 10 = 30]

18. How is GDP computed by product method? Explain it with suitable example. Does this method avoid the problem of double counting?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

19. Explain the principle of demand-pull inflation. How can it be controlled by monetary and fiscal policy?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

20. Suppose that the structural equation for the product market and money market in the Nepalese economy for 2024 were given as follows: $C = 200 + 0.75(Y - T)$, $T = 80 + 0.2Y$, $I = 200 - 2,000i$, $G = \text{Rs } 300$ million, $M_t = 0.5Y$, $M_{sp} = 100 - 1000i$, $M_s = \text{Rs } 400$ million. a) Compute equilibrium output and rate of interest. b) It is realized that Nepalese economy is trapped in economic recession. In order to remove economic recession, Nepal Rastra Bank has followed expansionary monetary policy and increased money supply by Rs. 200 million. Similarly, Government of Nepal has also implemented expansionary fiscal policy and increased spending by Rs. 200 million. What will be the simultaneous effect on equilibrium output and rate of interest? c) Do these policy measures help to remove economic recession of Nepal? Give reasons.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

21. (a) Derive investment multiplier. (b) Let structural equation of Nepalese economy were: $C = 200 + 0.7Y_d$ ($Y_d = Y - T$), $T = 500 + 0.20Y$, $I = \text{Rs } 200$ million, $G = \text{Rs } 400$ million, $X = \text{Rs } 100$ million, $M = 50 + 0.1Y$. (i) Compute equilibrium level of income. (ii) What will be the effect on equilibrium income when government expenditure increase by Rs 20 million and tax rate level by 10 percent?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section D

Comprehensive Answer / Case / Situation Analysis Questions:[20]

22. Study the following macroeconomic situation of Nepal and answer the questions followed: Government holds key responsibilities of assuring the availability of infrastructures, social amenities, peace, security, and stability without compromising macroeconomic balance and debt sustainability. Upholding the role of supporter, facilitator, and caretaker, it needs to invest in social overhead capital to support development goals and simultaneously finance the recurrent expenditure. The capacity of the government to spend on recurrent and capital expenditures depend upon the amount of revenues it generates. Government revenue is a matter of concern for policymakers. Government revenue is more crucial in developing countries as they need a plethora of funds for developmental activities. Developing countries will need to rely substantially on domestic resource mobilization as excessive reliance on foreign financing creates problems of debt in the long run. Revenue mobilization in Nepal has remained satisfactory so far. Government revenue to GDP ratio also increased from 14.6 percent in 2009/10 to 20.07 percent in 2023/24. The major sources of revenues are expected to accrue from taxes (income, capital gains and profits which are direct taxes are expected to (26%) VAT (28%), taxes on foreign trade of which import taxes (duties) comprises 22% and excise duty comprises 14%. These four tax categories constitute more than 87% of the tax revenues received. Total budget size of current fiscal year is Rs.1,751.315 billion which comprise of recurrent expenditure of Rs 1,141.78 billion which is 65.19 percent, capital expenditure of Rs 302.68 billion which is 17.24 percent and financial management of Rs 307.45 billion which is 17.55 percent of total budget in current fiscal year. Out of total budget, the major budget for internal and external debt is Rs 330.36 billion, which is around 18 percent of total budget. This reflect the situation of resource gap in Nepal. The proposed budget plans to finance this deficit primarily through loans: foreign loans from multilateral and bilateral partners (50%), domestic loans (40%) & foreign grants (multilateral and bilateral partners (10%). However government revenue is not enough to cover government expenditures. The size of government revenue and expenditure expanded with the implementation of federalism. The increasing budget deficit has raised serious concerns in Nepal. Historically, development activities are financed through foreign aid as government revenue is not sufficient to cover the recurrent expenditure. The inadequacy of government revenue to fulfil recurrent expenditures pose a serious threat to macroeconomic stability. It is essential to break the widening budget deficit by adopting measures to strengthen the economy: Different factors that revenue collection in the economy: such as nominal GDP, imports, exchange rate, foreign aid etc. Questions: a. Identify the major issues in a given case. b. Explain the major sources of government revenue in Nepal. c. What are the causes of resource gap in Nepal and how does government of Nepal fulfil this resource gap? d. What are the major difficulties for revenue mobilization in Nepal and what type of fiscal measures do you suggest to overcome for this problem? Explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.